

Organizational Purpose in Crisis Contexts: Executive Sensemaking and Adaptive Governance

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ABSTRACT

This study examines how organizational purpose is constructed and enacted in crisis contexts, addressing the limitations of static and declarative approaches to purpose in existing literature. It seeks to explain how executives mobilize purpose when organizations face uncertainty, moral ambiguity, and competing stakeholder demands, and why a processual understanding of purpose is necessary in volatile environments. The article adopts a qualitative, theory-building research design based on 15 semi-structured interviews with senior executives and governance actors operating in crisis-exposed organizations. The findings show that organizational purpose functions as a dynamic sensemaking and governance resource rather than a fixed reference point. Purpose anchors executive interpretation under uncertainty, frames ethical trade-offs, mediates stakeholder pluralism, and legitimizes adaptive governance responses during crises. This study advances understanding of purpose as ethical navigation in contexts of moral pluralism and offers a framework for analyzing purpose enactment in crisis governance, with implications for future research and leadership practice.

Keywords: Organizational purpose, executive sensemaking, adaptive governance, stakeholder pluralism, crisis management, business ethics

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INTRODUCTION

The renewed prominence of organizational purpose reflects a profound reorientation in contemporary debates on business, ethics, and governance (McGahan, 2023; Mahoney, 2023). Organizations are increasingly expected not only to generate economic value but also to articulate a broader societal role, engage responsibly with stakeholders, and contribute to sustainable and inclusive development (Freeman *et al.*, 2010; Porter & Kramer, 2011). These expectations have intensified in the wake of recurring crises, including economic instability, geopolitical conflict, public health emergencies, and environmental disruption, which have exposed the fragility of institutional arrangements and challenged traditional models of corporate governance (Hannah *et al.*, 2009; Boin *et al.*, 2016).

In this context, organizational purpose has been advanced as a guiding principle capable of restoring legitimacy, coherence, and trust (Morrison & Mota, 2021; Henisz, 2023). Purpose-driven narratives promise to align strategy with values, reconcile competing stakeholder claims, and provide moral direction in uncertain environments (Gartenberg *et al.*, 2019). However, despite its growing appeal, the concept of organizational purpose remains theoretically fragmented and empirically under-specified. Much of the existing literature treats purpose as a declarative artefact, embedded in mission statements, value charters, or corporate social responsibility frameworks (Bartlett & Ghoshal, 1994; Pataconi *et al.*, 2025). While such representations are symbolically significant, they offer limited insight into how purpose is interpreted and enacted when organizations face conditions of disruption, ambiguity, and moral conflict (Jasinenko & Steuber, 2023; Kilson & Tavares, 2024).

Crisis contexts are particularly revealing in this regard. Crises disrupt established routines, undermine taken-for-granted assumptions, and force organizations to confront difficult trade-offs under conditions of time pressure and uncertainty (Weick, 1988; Pearson & Clair, 1998). In such situations, purpose cannot function merely as a stable reference point; rather, it becomes subject to reinterpretation, contestation, and negotiation. Executives are required to make sense of unfolding events, justify strategic choices, and respond to competing stakeholder expectations, often in the absence of clear institutional guidance (Maitlis & Sonenshein, 2010; McGahan, 2023). These dynamics raise critical questions about how organizational purpose is constructed in practice and how it influences governance during periods of instability.

Despite increasing scholarly interest in organizational purpose, relatively little attention has been paid to the micro-processes through which purpose is shaped in crisis contexts. In particular, the role of executive sensemaking in constructing, revising, and mobilising purpose remains underexplored. Sensemaking theory suggests that actors actively interpret ambiguous environments through narrative framing and retrospective rationalization (Weick *et al.*, 2005). From this perspective, purpose is not simply implemented by leaders but is continuously produced through cognitive and discursive practices that give meaning to organizational action (Morrison & Mota, 2021). Understanding purpose as a sensemaking outcome shifts attention away from static definitions and towards the lived experience of leadership under uncertainty.

At the same time, crisis contexts foreground the challenge of stakeholder pluralism. Organizations operate within complex ecosystems composed of actors with divergent interests, values, and power positions (Mitchell *et al.*, 1997; Freeman *et al.*, 2010). While organizational purpose is often presented as a unifying force, stakeholder pluralism introduces tensions that cannot be fully resolved (Mahoney, 2023). Crises amplify these tensions by intensifying resource constraints and moral dilemmas, compelling organizations to prioritize certain claims over others (Henisz, 2023). In this regard, purpose

functions less as a mechanism of consensus and more as a relational governance tool through which organizations negotiate legitimacy and accountability (Durand & Huynh, 2024).

This article responds to these challenges by reframing organizational purpose as a dynamic and context-sensitive process of executive sensemaking and adaptive governance. Rather than conceptualizing purpose as a fixed organizational attribute, the study examines how purpose emerges through leadership interpretation, stakeholder interaction, and governance adaptation in crisis contexts. Drawing on interdisciplinary literature in organizational sensemaking, stakeholder theory, and adaptive governance (Weick et al., 2005; Boin et al., 2016; Morrison & Mota, 2021), the article advances a processual understanding of purpose as an interpretive and relational construct.

The contribution of this article is threefold. Firstly, it extends organizational purpose research by highlighting the central role of executive sensemaking in shaping purpose under conditions of crisis and institutional volatility. Secondly, it advances a governance-oriented perspective by conceptualizing purpose as a mechanism for mediating stakeholder pluralism rather than resolving it (Mahoney, 2023; Henisz, 2023). Thirdly, it contributes to business ethics scholarship by framing purpose as a form of ethical navigation that enables organizations to act responsibly amid moral ambiguity and competing expectations (McGahan, 2023).

The article proceeds as follows. The next section reviews the literature on organizational purpose, executive sensemaking, stakeholder pluralism, and adaptive governance, and develops the theoretical framework guiding the study. The methodology section outlines the qualitative, theory-building approach adopted. This is followed by the presentation of key findings, a discussion of theoretical and practical implications, and concluding remarks that outline avenues for future research.

LITERATURE REVIEW AND THEORETICAL FRAMEWORK

This section reviews and synthesizes the bodies of literature that inform the article's conceptual framework. It is organized around four interrelated strands: organizational purpose, executive sensemaking, stakeholder pluralism, and adaptive governance. Together, these literatures provide the theoretical foundations for understanding organizational purpose as a dynamic, interpretive, and governance-oriented process in crisis contexts.

Organizational Purpose: From Declarative Artefact to Processual Construct

Organizational purpose has long occupied a marginal position in management theory, often subsumed under concepts such as mission, vision, or strategic intent (Mintzberg, 1987; Bartlett & Ghoshal, 1994). Early approaches treated purpose primarily as a tool for goal alignment and organizational control, emphasizing clarity, stability, and internal coherence (Chandler, 1969). Within this instrumental tradition, purpose was understood as a managerial device designed to motivate employees, signal strategic direction, and enhance performance.

More recent scholarship has challenged this narrow view by repositioning organizational purpose as a normative and societal construct (Freeman et al., 2010; Porter & Kramer, 2011; Henisz, 2023). Influenced by developments in stakeholder theory, corporate governance, and business ethics, contemporary research emphasizes the role of purpose in articulating the organization's relationship with society (Morrison & Mota, 2021). From this perspective, purpose expresses why an organization exists beyond profit maximization and how it contributes to collective well-being, linking purpose to legitimacy, responsibility, and long-term value creation (Mahoney, 2023) and resilience (Hernaez et al., 2023).

Despite this conceptual broadening, significant ambiguities remain. Firstly, the literature lacks consensus on whether purpose should be understood as a stable organizational property or as an evolving practice (Jasinenko & Steuber, 2023). Secondly, much of the empirical research relies on purpose statements and formal disclosures, which capture espoused values rather than enacted realities (Gartenberg *et al.*, 2019). Thirdly, existing frameworks often assume relatively stable institutional environments, thereby underestimating the effects of crisis, uncertainty, and disruption on purpose enactment (Pataconi *et al.*, 2025).

These limitations have prompted calls for more process-oriented and context-sensitive approaches. Rather than treating purpose as a static declaration, scholars increasingly argue that purpose is continuously shaped through organizational practices, interactions, and interpretations (Durand & Huynh, 2024). Crisis contexts, in particular, reveal the fragility of declarative purpose and underscore the need to understand how purpose is reconstructed when organizational routines and assumptions are disrupted (Boin *et al.*, 2016).

Executive Sensemaking and the Construction of Purpose

Sensemaking theory offers a powerful lens for examining how organizational purpose is constructed in practice. Sensemaking refers to the processes through which actors interpret ambiguous situations, create meaning, and guide action; it is inherently retrospective, social, and grounded in identity (Weick, 1988; Weick *et al.*, 2005). In organizational settings, sensemaking enables actors to reduce complexity and uncertainty by developing plausible narratives that explain what is happening and what should be done (Maitlis & Sonenshein, 2010).

Executives occupy a privileged position in sensemaking processes due to their authority, visibility, and responsibility for strategic direction (Gioia & Chittipeddi, 1991). Through speeches, decisions, and symbolic actions, executives frame organizational realities and influence how events are interpreted by others. In times of crisis, this framing function becomes particularly salient, as crises disrupt established sensemaking frameworks and render prior interpretations obsolete (Hannah *et al.*, 2009).

Organizational purpose plays a central role in this process. Rather than serving as a pre-existing guide, purpose often emerges through executive sensemaking as leaders reinterpret organizational identity and priorities in light of unfolding events (Morrison & Mota, 2021). Purpose narratives help executives justify difficult decisions, explain trade-offs, and maintain continuity amid change (McGahan, 2023).

Viewing purpose as an outcome of sensemaking challenges linear models of leadership and strategy. It suggests that purpose is provisional, contested, and subject to revision as contexts evolve, highlighting the cognitive and emotional dimensions of leadership under uncertainty and moral ambiguity (Maitlis & Sonenshein, 2010).

Stakeholder Pluralism and the Limits of Purpose as Consensus

Stakeholder theory has been instrumental in expanding the understanding of organizational responsibility and value creation by recognizing that organizations affect and are affected by multiple groups (Freeman *et al.*, 2010). Within this framework, organizational purpose is often presented as a unifying principle capable of aligning diverse stakeholder interests around shared values (Porter & Kramer, 2011).

However, this assumption of alignment has been increasingly questioned. Stakeholders differ not only in their interests but also in their values, expectations, and power positions (Mitchell *et al.*, 1997; Dyck

et al., 2022). These differences generate tensions that cannot always be reconciled through shared purpose, giving rise to stakeholder pluralism as a persistent organizational condition (Mahoney, 2023).

Crisis contexts intensify these challenges. When resources are constrained and decisions have high stakes, organizations are forced to prioritize certain stakeholders over others, generating perceptions of injustice or exclusion (Henisz, 2023). In such situations, purpose does not eliminate conflict but becomes a means of justifying and managing it, helping organizations negotiate legitimacy under conditions of contestation (Durand & Huynh, 2024).

This relational understanding of purpose aligns with governance-oriented interpretations of stakeholder theory, which recognize conflict as inherent rather than exceptional (Freeman *et al.*, 2010). Purpose thus functions as a boundary object that structures dialogue and negotiation without requiring full consensus.

Adaptive Governance and Organizational Response to Crisis

Adaptive governance refers to the capacity of organizations to adjust structures, processes, and decision-making mechanisms in response to changing environments (Boin *et al.*, 2016). Originating in public administration and socio-ecological systems research, adaptive governance emphasizes learning, flexibility, and responsiveness under conditions of uncertainty.

In crisis contexts, adaptive governance becomes essential. Crises undermine the assumptions on which formal governance arrangements are based, exposing gaps between prescribed procedures and practical realities (Pearson & Clair, 1998). Organizations must therefore improvise, experiment, and reconfigure governance arrangements to cope with emerging challenges, involving both technical adjustments and normative judgments about responsibility and accountability.

Organizational purpose plays a critical role in this process by providing ethical and cognitive orientation. Purpose anchors adaptive responses in shared values and identity, legitimizing deviation from established routines when circumstances demand it (Henisz, 2023). At the same time, purpose provides a normative benchmark against which adaptive actions can be evaluated.

However, the relationship between purpose and adaptive governance is fragile. If purpose is treated as immutable, it may constrain learning; if overly malleable, it risks losing legitimacy (Morrison & Mota, 2021). Understanding this balance requires attention to sensemaking processes and stakeholder relations. Table 1 summarizes the four literature streams reviewed and illustrates how they are integrated to conceptualize organizational purpose as dynamic sensemaking and governance process in crisis contexts.

Table 1: Literature Streams Informing the Integrative Theoretical Framework

Literature Stream	Core Assumptions	Key Contributions	Limitations Identified in the Literature	Implications for this Study
Organizational Purpose	Purpose provides direction, meaning, and alignment for organizational action	Reframes purpose as a normative and societal construct linked to legitimacy, responsibility, and long-term value creation (Freeman <i>et al.</i> , 2010; Porter & Kramer, 2011; Henisz, 2023)	Tendency to treat purpose as a declarative artefact; reliance on formal statements; limited attention to crisis and enactment (Gartenberg <i>et al.</i> , 2019; Jasinenko & Steuber, 2023)	Purpose is conceptualized as a dynamic and processual construct that is enacted, contested, and revised in crisis contexts

Literature Stream	Core Assumptions	Key Contributions	Limitations Identified in the Literature	Implications for this Study
Executive Sensemaking	Actors construct meaning through interpretation, narratives, and identity-based cognition	Explains how executives interpret ambiguity and guide action under uncertainty (Weick, 1988; Weick <i>et al.</i> , 2005; Maitlis & Sonenshein, 2010)	Limited engagement with organizational purpose as a central sensemaking object; often detached from governance dynamics	Positions purpose as an outcome of executive sensemaking rather than a pre-existing guide
Stakeholder Pluralism	Organizations are embedded in ecosystems of actors with divergent interests and values	Highlights relational accountability, stakeholder salience, and legitimacy challenges (Freeman <i>et al.</i> , 2010; Mitchell <i>et al.</i> , 1997)	Overly harmonizing views of purpose; underestimation of conflict and prioritization in crisis situations (Mahoney, 2023)	Reframes purpose as a governance mechanism for mediating, rather than resolving, stakeholder conflict
Adaptive Governance	Governance systems must remain flexible and responsive under uncertainty	Emphasizes learning, flexibility, and legitimacy during disruption (Pearson & Clair, 1998; Boin <i>et al.</i> , 2016)	Often technocratic; insufficient attention to ethical orientation and meaning-making	Shows how purpose provides normative continuity that legitimizes governance adaptation in crises
Integrative Perspective (This Study)	Purpose emerges through interaction between cognition, stakeholders, and governance	Combines sensemaking, ethics, and governance into a unified processual framework	Addresses fragmentation across literatures by integrating micro, relational, and institutional levels	Conceptualizes organizational purpose as a lived, contested, and adaptive practice in crisis contexts

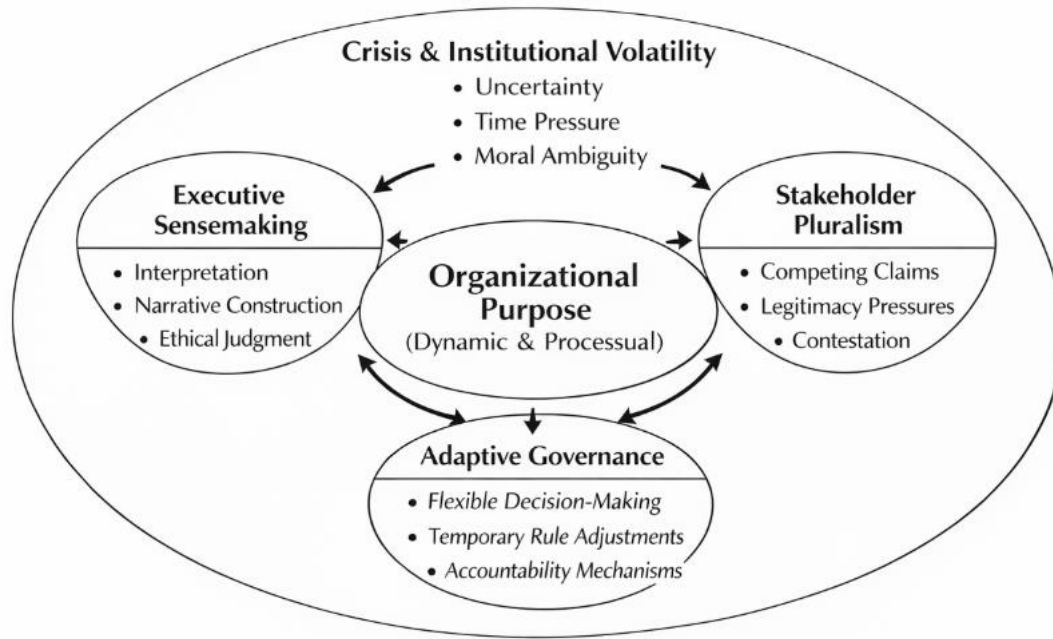
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Toward an Integrative Framework

Synthesising these literatures suggests that organizational purpose in crisis contexts cannot be understood through static or instrumental models. Instead, purpose emerges as a dynamic and relational process shaped by executive sensemaking, stakeholder pluralism, and adaptive governance (Weick *et al.*, 2005; Mahoney, 2023). Executives construct purpose through interpretive narratives that respond to uncertainty and moral ambiguity; stakeholders engage with and contest these narratives; and governance structures evolve in response to crisis.

This integrative framework positions organizational purpose as both a cognitive and governance phenomenon, highlighting the interplay between interpretation, interaction, and institutional context. It provides the conceptual foundation for the empirical analysis that follows and supports a rethinking of purpose as a lived and contested practice rather than a fixed declaration. Figure 1 illustrates how organizational purpose emerges as a dynamic and relational process through the interaction of executive sensemaking, stakeholder pluralism, and adaptive governance under conditions of crisis and institutional volatility.

Figure 1: Integrative Framework of Organizational Purpose in Crisis Contexts



Source: Author's own

METHODOLOGY

Research Design

This study adopts a qualitative, interpretive research design aimed at developing theory on organizational purpose as a sensemaking and governance process in crisis contexts. Given the exploratory nature of the research question and the focus on meaning construction, ethical ambiguity, and stakeholder relations, a qualitative approach is particularly appropriate (Gioia *et al.*, 2013; Denzin & Lincoln, 2017). Rather than testing predefined hypotheses, the study seeks to generate analytically grounded insights into how organizational purpose is interpreted, enacted, and mobilized by executives under conditions of crisis and institutional volatility.

The research is positioned within a theory-building tradition, combining empirical qualitative material with an abductive analytical logic (Tavory & Timmermans, 2012). This approach allows for iterative movement between empirical observations and existing theoretical frameworks, thereby enabling the refinement and extension of concepts related to executive sensemaking, stakeholder pluralism, and adaptive governance (Dubois & Gadde, 2002).

Empirical Context and Data Collection

The empirical material consists primarily of fifteen semi-structured interviews conducted with senior executives and governance actors operating in organizations exposed to crisis situations. The interviewees were selected using purposive sampling to ensure relevance to the research question (Patton, 2015). All participants occupied decision-making or advisory roles that involved direct engagement with strategic, ethical, or governance challenges during periods of disruption.

The interviewees represented organizations operating across diverse sectors, including private enterprises, hybrid organizations, and entities with strong public or societal missions. This diversity enabled the exploration of organizational purpose across different institutional settings while maintaining analytical coherence around crisis and governance dynamics (Eisenhardt, 1989).

The interviews were conducted over a period of several months, either face-to-face or via secure online platforms, depending on contextual constraints. Each interview lasted between sixty and ninety minutes and followed a semi-structured interview guide, a format well suited to capturing rich, experience-based accounts while ensuring comparability across interviews (Brinkmann & Kvale, 2014).

Interview questions focused on four main themes:

1. executives' interpretations of organizational purpose during crisis situations;
2. the role of purpose in guiding decision-making and strategic trade-offs;
3. stakeholder tensions and legitimacy challenges encountered during crises;
4. governance adaptations and ethical considerations arising from disruption.

All interviews were recorded with the participants' consent and transcribed verbatim to ensure analytical accuracy.

Supplementary Data Sources

To enhance analytical depth and triangulation, the interview data were complemented by secondary qualitative material, including organizational documents, public statements, governance reports, and strategic communications produced during or immediately following crisis events (Yin, 2018). These materials provided additional insight into espoused purpose narratives and enabled comparison between formal discourse and executive interpretations articulated during interviews.

Academic literature on organizational purpose, crisis management, and governance also served as an important analytical resource, supporting the abductive development of theoretical insights (Tavory & Timmermans, 2012).

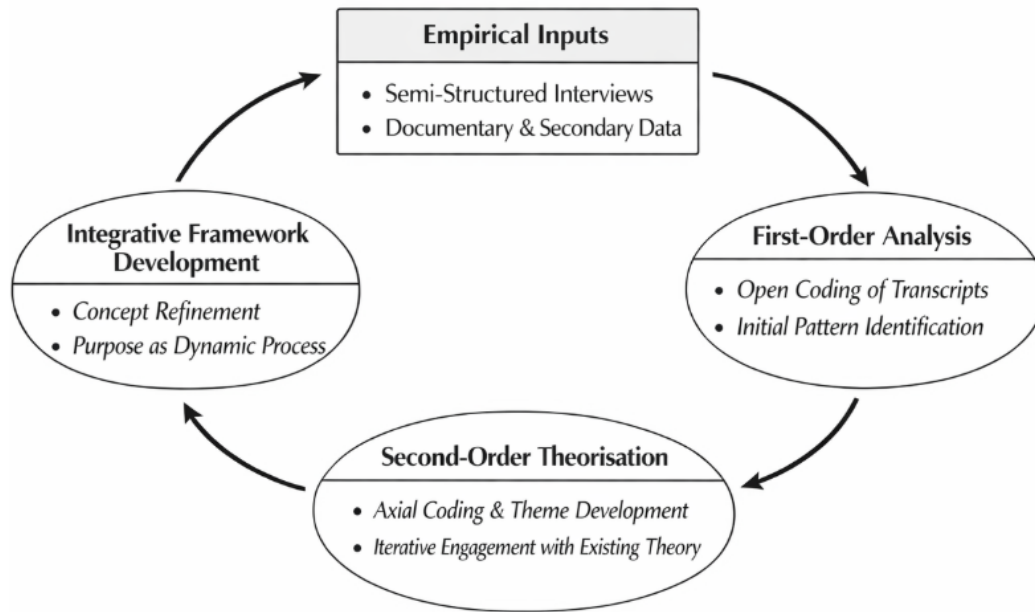
Data Analysis

The data were analysed using thematic analysis, following an iterative and reflexive coding process (Braun & Clarke, 2006). Initial open coding was conducted to identify recurring patterns related to purpose articulation, sensemaking practices, stakeholder engagement, and governance adaptation. These first-order codes were then clustered into broader second-order themes through axial coding, focusing on relationships between executive cognition, stakeholder pluralism, and adaptive governance responses (Corbin & Strauss, 2015).

The analysis followed an abductive logic, whereby emerging empirical themes were continuously compared with existing theoretical constructs (Dubois & Gadde, 2002). This process facilitated the refinement of concepts and enabled the development of an integrative framework connecting organizational purpose with sensemaking and governance dynamics in crisis contexts.

Analytical memos were maintained throughout the process to document interpretive decisions, emerging insights, and theoretical reflections (Saldaña, 2025). Figure 2 illustrates the abductive analytical process through which empirical material and theoretical constructs were iteratively integrated to develop the conceptual framework of the study.

Figure 2: Analytical Process and Theory Development



Source: Author's own

Research Rigour and Ethical Considerations

Several measures were taken to enhance the rigour and credibility of the study. First, data triangulation was achieved by combining interview data with documentary sources (Denzin, 2009). Second, analytical transparency was ensured through systematic coding procedures and the use of memos. Third, reflexivity was maintained by critically reflecting on the researcher's interpretive role and potential biases throughout the analysis (Alvesson & Sköldbberg, 2018).

Ethical considerations were central to the research process. All participants were informed of the study's objectives, assured of confidentiality, and provided consent prior to participation. To preserve anonymity and comply with the requirements of the double-blind review, no identifying information was disclosed in the manuscript (Israel & Hay, 2006).

Limitations

While the qualitative design enables in-depth exploration of executive sensemaking and governance processes, the findings are not intended to be statistically generalizable. Instead, the study aims for analytical generalization, offering theoretical insights that may inform future research across contexts (Yin, 2018). Additionally, the reliance on retrospective accounts may be subject to recall bias; however, this limitation is mitigated by triangulation with contemporaneous documentary material.

Table 2: Overview of Research Design and Data Sources

Methodological Component	Description	Purpose in the Study
Research Design	Qualitative, interpretive, theory-building approach	To explore how organizational purpose is constructed and enacted in crisis contexts
Analytical Logic	Abductive analysis	To iteratively connect empirical insights with existing theory

Methodological Component	Description	Purpose in the Study
Primary Data	15 semi-structured interviews with senior executives and governance actors	To capture executive sensemaking, ethical reasoning, and governance responses during crises
Sampling Strategy	Purposive sampling	To ensure relevance to crisis-related decision-making and governance challenges
Interview Format	Semi-Structured interviews (60–90 minutes)	To balance comparability with depth and flexibility
Secondary Data	Organizational documents, public statements, governance reports	To triangulate interview accounts and analyze espoused purpose narratives
Data Analysis Method	Thematic analysis (open and axial coding)	To identify patterns linking purpose, sensemaking, stakeholders, and governance
Research Rigour	Triangulation, reflexivity, analytical transparency	To enhance credibility and trustworthiness of findings
Ethical Safeguards	Informed consent, confidentiality, anonymization	To ensure ethical compliance and double-blind review integrity

Source: Author's own

RESULTS

The analysis of the 15 semi-structured interviews revealed four interrelated themes that illuminate how organizational purpose is constructed, mobilized, and contested in crisis contexts. These themes capture executives' lived experiences of sensemaking, stakeholder negotiation, and governance adaptation under conditions of uncertainty and institutional volatility.

Table 3: Empirical Themes and Core Interpretations

Theme	Analytical Description	Indicative Evidence
Purpose as a Sensemaking Anchor	Purpose provides interpretive stability when routines collapse	Executives returned to organizational identity and "reason for existence" rather than formal strategy
Purpose and Ethical Trade-Offs	Purpose frames justification of morally difficult decisions	Leaders used purpose to explain unavoidable sacrifices and prioritization
Stakeholder Pluralism and Contestation	Purpose is interpreted differently by stakeholders	Stakeholders mobilized competing interpretations of purpose during crisis
Purpose as a Catalyst for Governance Adaptation	Purpose legitimizes temporary governance changes	Purpose narratives justified deviations from established governance rules

Source: Author's own

Purpose as a Sensemaking Anchor in Conditions of Uncertainty

Across the interviews, participants consistently described crisis situations as moments in which established strategic frameworks and governance routines lost their relevance. In these contexts, organizational purpose emerged as a critical sensemaking anchor rather than as a predefined guide. Executives emphasized that purpose was not simply "*applied*" during crises, but actively reinterpreted to make sense of unfolding events.

Several interviewees noted that crises forced them to revisit fundamental questions about organizational identity and priorities. One executive explained:

"When the crisis hit, all our plans became secondary. What we went back to was not strategy, but why we existed in the first place and what we could reasonably defend as the right thing to do."

Purpose narratives were used retrospectively to explain disruptions and prospectively to justify new courses of action. Rather than offering certainty, purpose provided a plausible storyline that enabled leaders to act despite ambiguity. This interpretive function was particularly evident when decisions involved ethical trade-offs or incomplete information.

Importantly, interviewees highlighted that purpose was often clarified *through* action rather than prior to it. As one participant observed: *"We understood our purpose better after making difficult decisions than before. The crisis revealed what really mattered"*

These findings suggest that organizational purpose functions as an evolving interpretive resource, continuously shaped through executive sensemaking in response to crisis.

Purpose and Ethical Trade-offs in Executive Decision-Making

A second theme concerned the role of purpose in navigating ethical dilemmas and strategic trade-offs. Interviewees described crisis situations as characterized by competing moral claims, where decisions benefiting one stakeholder group often disadvantaged another. In such circumstances, purpose did not eliminate ethical tension but provided a framework for justification and accountability.

Executives reported drawing on purpose narratives to explain why certain sacrifices were deemed necessary. One interviewee stated: *"Every option had ethical consequences. Purpose helped us explain why we chose one path over another, even when none of the options were ideal"*.

Rather than serving as a moral rulebook, purpose functioned as a lens through which decisions could be defended as consistent with organizational values (Tungtakanpoung, & Postoyeva, 2023). Several participants emphasized that this process involved acknowledging imperfection and moral residue, rather than claiming ethical purity.

The interviews also revealed that executives experienced significant emotional and moral strain when purpose-driven decisions conflicted with personal values or professional norms. Purpose narratives helped manage this tension by framing decisions as part of a broader responsibility to the organization and its societal role.

Stakeholder Pluralism and the Contestation of Purpose

A third theme highlighted the contested nature of organizational purpose in crisis contexts. Interviewees consistently reported that stakeholders interpreted purpose differently, often in ways that reflected their own interests and expectations. Employees, customers, partners, regulators, and communities articulated competing visions of what the organization *ought* to prioritize during crises.

Several executives noted that purpose statements became sites of contestation rather than consensus. One participant remarked: *"Everyone claimed to support our purpose, but they meant very different things by it. The crisis exposed those differences."*

Rather than resolving stakeholder conflict, purpose narratives were used to mediate and prioritize claims. Executives described engaging in continuous dialogue with stakeholders to maintain legitimacy,

even when consensus was unattainable. In some cases, purpose was deliberately framed in broad terms to allow for interpretive flexibility; in others, it was narrowed to justify difficult exclusions.

Importantly, interviewees emphasized that stakeholder reactions influenced how purpose was subsequently articulated and enacted. Negative feedback, public criticism, or loss of trust prompted leaders to reassess their framing of purpose and adjust governance practices accordingly. This reciprocal dynamic underscores the relational character of purpose in crisis contexts.

Purpose as a Catalyst for Governance Adaptation

The final theme concerned the relationship between organizational purpose and governance adaptation. Interviewees reported that crises often necessitated deviations from established governance structures, including changes in decision-making authority, communication channels, and accountability mechanisms.

Purpose played a legitimizing role in these adaptations. Executives described invoking purpose to justify temporary centralization of authority, accelerated decision-making, or reallocation of resources. One interviewee explained: *"We broke some of our own rules, but purpose gave us the legitimacy to do so without losing trust."*

At the same time, participants cautioned that overreliance on purpose rhetoric without corresponding accountability could undermine credibility. Several executives stressed the importance of aligning adaptive governance measures with visible ethical commitments to prevent perceptions of opportunism.

Overall, the findings indicate that purpose supports adaptive governance not by prescribing specific structures, but by providing normative orientation during periods of rapid change. Organizations that treated purpose reflexively, and were open to reinterpretation and stakeholder feedback were better able to balance flexibility with legitimacy.

Taken together, the findings demonstrate that organizational purpose in crisis contexts operates as a dynamic, interpretive, and relational process. Purpose anchors executive sensemaking, frames ethical trade-offs, mediates stakeholder pluralism, and legitimizes governance adaptation. Rather than functioning as a static declaration, purpose emerges as a lived practice shaped through action, contestation, and reflection under conditions of uncertainty.

DISCUSSION

This study set out to examine how organizational purpose is constructed and enacted in crisis contexts through executive sensemaking and adaptive governance. The findings contribute to ongoing debates in organizational purpose research by challenging static, declarative, and instrumental conceptions of purpose. Instead, the analysis reveals purpose as a dynamic, interpretive, and relational process that unfolds through leadership cognition, stakeholder interaction, and governance adaptation under conditions of uncertainty.

Organizational Purpose as Sensemaking in Crisis Contexts

The findings demonstrate that organizational purpose functions primarily as a sensemaking device rather than as a predefined strategic compass. In crisis situations, executives do not simply rely on existing purpose statements; they actively reinterpret purpose to render unfolding events intelligible and to justify action in the absence of clear precedents. This supports a processual view of purpose, in which meaning is constructed retrospectively and prospectively through narrative framing.

This insight extends sensemaking theory by foregrounding purpose as a central narrative resource during disruption. While prior research has emphasized identity, strategy, or values as sensemaking anchors, the present study highlights purpose as a higher-order interpretive frame that integrates ethical considerations, organizational identity, and societal role. Purpose narratives enable executives to maintain continuity amid rupture, offering a plausible account of "*who we are*" and "*what we stand for*" when established routines collapse.

Importantly, the findings also challenge normative assumptions that purpose provides clarity or certainty. Instead, purpose supports action by making ambiguity manageable rather than by eliminating it. This reframing shifts scholarly attention away from purpose as a source of consensus and towards its role in sustaining organizational agency under uncertainty.

Purpose, Moral Pluralism, and Ethical Navigation

From a business ethics perspective, the study offers important insights into the moral function of organizational purpose. The interviews reveal that crises expose executives to competing ethical claims that cannot be reconciled through universal principles or simple rules. In this context, purpose does not operate as a moral algorithm; rather, it serves as a mechanism of ethical navigation.

Purpose enables executives to justify trade-offs and prioritization decisions while acknowledging moral residue and imperfection. This finding resonates with pluralist ethical theories that reject moral absolutism in favour of contextual judgment. By framing decisions as consistent with organizational purpose, executives seek to maintain moral coherence without denying the existence of ethical loss or stakeholder dissatisfaction.

This interpretation advances business ethics scholarship by repositioning purpose away from idealized notions of moral clarity. Instead, purpose emerges as a practical ethical resource that supports responsibility under conditions of constraint. Such a view aligns with contemporary critiques of instrumental ethics and ESG-driven moralization, which often obscure the lived complexity of ethical decision-making in crisis contexts.

Stakeholder Pluralism and the Contestation of Purpose

The findings further contribute to stakeholder theory by illustrating the contested nature of organizational purpose. While much of the literature assumes that purpose aligns stakeholder interests, the empirical evidence suggests that crises intensify interpretive divergence among stakeholders. Purpose statements become sites of negotiation rather than symbols of unity.

This challenges harmonizing accounts of stakeholder capitalism and supports a governance-oriented interpretation of stakeholder theory. Purpose does not resolve pluralism; it structures engagement with it. By providing a shared yet flexible reference point, purpose enables organizations to mediate conflicting claims while preserving legitimacy.

The reciprocal relationship between stakeholder responses and purpose enactment is particularly noteworthy. Stakeholder reactions influence how purpose is subsequently framed and institutionalized, highlighting the relational and iterative character of purpose. This dynamic underscores the importance of dialogue, transparency, and responsiveness in purpose-driven governance, especially in volatile environments.

Purpose and Adaptive Governance

The study also extends adaptive governance theory by demonstrating how organizational purpose legitimizes governance adaptation during crisis. Crises often require deviations from established procedures, including accelerated decision-making, temporary centralization of authority, or reallocation of resources. Such deviations risk undermining trust and accountability if perceived as opportunistic.

The findings indicate that purpose plays a crucial legitimizing role in this process. By anchoring adaptive measures in shared values and organizational identity, purpose provides normative continuity amid structural change. This enables organizations to act flexibly while maintaining ethical coherence and stakeholder trust.

However, the results also reveal the fragility of this relationship. When purpose rhetoric is decoupled from accountable practice, legitimacy erodes. This underscores the importance of reflexivity in purpose enactment. Purpose must remain open to reinterpretation and scrutiny if it is to support adaptive governance rather than justify discretionary power.

Toward an Integrative Understanding of Purpose

Taken together, the findings support an integrative understanding of organizational purpose as a sensemaking–governance nexus. Purpose emerges at the intersection of executive cognition, stakeholder relations, and institutional adaptation. It is neither purely symbolic nor purely instrumental, but a lived organizational process shaped by action, contestation, and reflection.

This perspective advances organizational purpose research in three ways. Firstly, it shifts the unit of analysis from purpose statements to sensemaking practices. Secondly, it reframes purpose as a relational governance mechanism rather than a source of consensus. Thirdly, it positions purpose as an ethical practice oriented toward responsibility under conditions of moral pluralism and uncertainty.

By embedding purpose within crisis governance dynamics, the study responds directly to calls for more context-sensitive and ethically grounded analyses of organizational purpose. It highlights the limitations of static and universalistic models and underscores the need to study purpose as an evolving and contested phenomenon.

IMPLICATIONS FOR THEORY AND PRACTICE

Implications for Theory

This study offers several contributions to theory in the fields of organizational purpose, business ethics, and governance. Firstly, by conceptualizing organizational purpose as a sensemaking process rather than a fixed organizational attribute, the article extends existing purpose scholarship beyond declarative and instrumental models (Morrison & Mota, 2021; Durand & Huynh, 2024). Purpose is shown to emerge through executive interpretation, narrative construction, and action under conditions of uncertainty, reinforcing processual views of organizational meaning-making (Weick *et al.*, 2005; Maitlis & Sonenshein, 2010). This perspective invites scholars to shift analytical attention from formal purpose statements to the cognitive and relational practices through which purpose is enacted in everyday organizational life.

Secondly, the findings contribute to business ethics theory by reframing purpose as a mechanism of ethical navigation rather than moral certainty. In contrast to normative models that portray purpose as a source of clear ethical guidance, the study demonstrates how purpose supports responsible action in situations characterized by moral pluralism and unavoidable trade-offs (Mahoney, 2023; Henisz, 2023).

This insight aligns with pluralist ethical traditions that emphasize judgment, context, and responsibility over universal moral prescriptions, and it challenges idealized representations of purpose-driven leadership that overlook ethical ambiguity and moral residue in decision-making (McGahan, 2023).

Thirdly, the article advances stakeholder theory by highlighting the contested and relational nature of organizational purpose. Rather than assuming stakeholder alignment, the findings illustrate how purpose structures engagement with competing claims and legitimizes prioritization decisions (Mitchell *et al.*, 1997; Freeman *et al.*, 2010). This governance-oriented interpretation enriches stakeholder theory by acknowledging conflict as an inherent feature of organizational life, particularly in crisis contexts where resources are constrained and stakeholder expectations intensify (Durand & Huynh, 2024).

Finally, the study contributes to adaptive governance literature by demonstrating how purpose legitimizes governance flexibility under conditions of disruption. Purpose provides normative continuity that enables organizations to adapt structures and processes without eroding legitimacy, supporting adaptive responses while maintaining ethical coherence (Pearson & Clair, 1998; Boin *et al.*, 2016). This insight underscores the importance of integrating ethical orientation and sensemaking processes into theories of governance adaptation, particularly in volatile and uncertain environments.

Implications for Practice

For practitioners, the findings suggest that organizational purpose should be treated as an ongoing leadership practice rather than as a static statement. Executives operating in crisis contexts should recognize that purpose gains relevance through interpretation, dialogue, and action, particularly when established routines and strategies become inadequate (Morrison & Mota, 2021; McGahan, 2023). Rather than relying on pre-formulated purpose declarations, leaders are encouraged to actively engage with purpose as a sensemaking resource that helps navigate uncertainty and restore organizational coherence (Weick *et al.*, 2005).

Leaders are also encouraged to engage reflexively with purpose, using it to frame difficult decisions while remaining open to stakeholder feedback and reinterpretation. The findings indicate that purpose-driven governance requires transparency about trade-offs and explicit acknowledgement of ethical tensions, rather than reliance on abstract or idealized narratives of alignment (Henisz, 2023; Mahoney, 2023). Such reflexive engagement can help prevent purpose from becoming symbolic or performative, particularly in contexts where stakeholder expectations diverge and moral ambiguity is unavoidable (Durand & Huynh, 2024).

From a governance perspective, organizations should embed purpose into decision-making processes and accountability mechanisms, especially during periods of rapid change. Integrating purpose into governance practices can enhance trust, support adaptive responses, and legitimize necessary deviations from established procedures during crises (Pearson & Clair, 1998; Boin *et al.*, 2016). At the same time, leaders should ensure that purpose is accompanied by clear accountability structures to prevent its misuse as a rhetorical justification for unchecked discretion or concentration of authority (Freeman *et al.*, 2010).

CONCLUSION AND DIRECTIONS FOR FUTURE RESEARCH

This article examined how organizational purpose is constructed and enacted in crisis contexts through executive sensemaking and adaptive governance. Moving beyond static and declarative conceptions, the study conceptualized purpose as a dynamic, interpretive, and relational process embedded in leadership cognition, stakeholder interaction, and governance adaptation (Morrison & Mota, 2021;

Durand & Huynh, 2024). Drawing on qualitative evidence from fifteen semi-structured interviews, the findings demonstrate that crises do not merely test pre-existing purposes but actively reshape them, compelling executives to reinterpret organizational identity, values, and responsibilities under conditions of uncertainty and moral pluralism (Hannah *et al.*, 2009; Boin *et al.*, 2016).

The analysis shows that organizational purpose functions as a critical sensemaking resource that enables leaders to act in the absence of clear institutional guidance. Rather than providing moral certainty, purpose supports ethical navigation by framing trade-offs, legitimizing prioritization decisions, and sustaining coherence amid competing stakeholder claims (Weick *et al.*, 2005; Mahoney, 2023). In this sense, purpose emerges not as a source of consensus but as a governance mechanism through which organizations manage contestation, maintain legitimacy, and justify adaptive responses during disruption (Freeman *et al.*, 2010; Henisz, 2023).

By reframing organizational purpose as a lived and contested practice, this study contributes to interdisciplinary debates in business ethics and society. It challenges idealized models of purpose-driven leadership that assume stability, alignment, or moral clarity, and instead highlights the importance of reflexivity, dialogue, and accountability in purpose enactment (McGahan, 2023). The findings further extend sensemaking theory and adaptive governance research by demonstrating how purpose provides normative continuity while enabling flexibility in crisis contexts (Pearson & Clair, 1998; Morrison & Mota, 2021).

Several avenues for future research arise from this study. Comparative research across cultural, institutional, and sectoral settings could deepen understanding of how purpose is shaped by different governance traditions and stakeholder configurations (Pataconi *et al.*, 2025). Longitudinal studies could examine how purpose evolves beyond immediate crisis periods and becomes institutionalized or contested over time. Finally, mixed-method and multi-level approaches could further explore the relationship between purpose narratives, governance outcomes, and stakeholder trust (Gartenberg *et al.*, 2019).

In an era marked by recurring crises and institutional fragility, understanding organizational purpose as an adaptive, ethical, and governance-oriented practice remains both a scholarly priority and a practical necessity (McGahan, 2023; Henisz, 2023).

Notes: All research procedures were conducted in accordance with the approved ethical guidelines.

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